

Do Not Fall Behind — The Corporate Series

FX Timing Risk:

The Hidden Variable in Corporate Treasury



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Introduction

Foreign exchange is often discussed in terms of rates, spreads, and hedging strategies. For corporates, however, FX risk is not only about *price* — it is also about *timing*.

In cross-border payments, FX exposure frequently arises not because treasuries take speculative positions, but because **settlement does not occur simultaneously across currencies**. The gap between when a payment is initiated, when FX is executed, and when funds become available introduces a form of timing risk that is largely outside the corporate's control.

This article explores FX timing risk as a structural feature of today's cross-border payment model and explains why it complicates treasury management even in well-hedged organisations.

FX Risk Beyond the Rate

Most corporates manage FX risk through a combination of:

- natural hedging,
- forward contracts,
- netting,
- and internal policies around exposure limits.

These tools are designed to manage **price risk** — the risk that exchange rates move unfavourably.

However, they are far less effective at managing **timing risk** — the risk that settlement occurs later than expected, or at a different point in the FX curve than planned.

In practice, many FX variances attributed to “market movements” are in fact driven by settlement timing mismatches.

How Settlement Timing Creates FX Exposure

In a typical cross-border payment:

- a payment instruction is initiated,
- FX may be quoted or executed,

- settlement occurs later, often through intermediaries,
- and funds become available at an uncertain time.

During this interval:

- exchange rates may move,
- hedges may expire or misalign,
- and treasury forecasts lose precision.

Even small timing deviations can matter when transaction volumes are large or when currencies are volatile.

The Cost of Managing Uncertainty

Because settlement timing cannot be predicted precisely, treasuries compensate in several ways:

- FX buffers are added to forecasts
- Hedging tenors are extended “just in case”
- Cash is held longer in certain currencies
- Payments are initiated earlier than operationally necessary

Each of these responses is prudent — and each has a cost.

The result is:

- increased working capital requirements,
- reduced efficiency of hedging programmes,
- and persistent variance between expected and realised FX outcomes.

Why This Is Structural, Not Operational

Importantly, FX timing risk is not primarily the result of:

- poor treasury execution,
- suboptimal bank selection,
- or insufficient controls.

It is a **structural outcome of non-simultaneous settlement** in a multi-currency, multi-intermediary environment.

Even with excellent visibility and reporting, treasuries cannot fully eliminate timing risk as long as:

- settlement is delayed,
- liquidity is fragmented,
- and FX legs do not complete atomically.

Implications for Forecasting and Performance Measurement

From a CFO and treasury leadership perspective, FX timing risk complicates:

- cash flow forecasting,
- variance analysis,
- performance attribution,
- and internal discussions about “forecast accuracy”.

Treasury teams may appear to underperform against plan, even when underlying execution is sound. This can distort incentives and drive overly conservative policies that further increase cost.

What Changes When Settlement Timing Becomes Predictable

When settlement timing is predictable — or effectively immediate — FX risk becomes easier to manage.

Treasuries can:

- align FX execution more precisely with settlement,
- shorten hedge tenors,
- reduce buffers,
- and improve forecast accuracy.

Importantly, this does not require treasuries to change strategy. It simply allows existing tools to work as intended.

Conclusion

FX timing risk is one of the least visible, yet most persistent, costs in cross-border treasury operations.

It arises not from market volatility, but from uncertainty in settlement timing. As long as payments and FX settlement remain non-simultaneous, corporates will continue to compensate with excess buffers, conservative assumptions, and higher working capital.

Understanding FX timing risk as a structural issue — rather than an execution failure — is essential for evaluating what meaningful improvement in cross-border payments could look like for corporates.